FINTECH · INDIVIDUAL PROJECT · STUDENT TRAINING

Project Ethics.

Dr Yang Yang

SESSION OUTLINE

What we'll cover today.

By the end of the session you will know which category your project sits in, what you need to file, and when.

I

PART I

Why ethics matters

The UoB research-ethics principles and the disciplinary stakes.

II

PART II

When & how

Your timeline from March to the project plan submission in June.

III

PART III

The three categories

Rules and examples for the route most projects take.

IV

PART IV

Self-check & test

Decision flow, project-plan section, ethics test on Blackboard.

PART I · WHY ETHICS MATTERS

What ‘ethics’ covers.

From the UoB Ethics of Research Policy. Your project must respect every one of these.

01 **Rights & dignity**
Protect the health, safety and privacy of research subjects.

02 **Permission**
Always work with informed consent.

03 **Copyright**
Respect ownership of data, code and creative work.

04 **Fair representation**
Report findings honestly — don’t cherry-pick or distort.

05 **Data protection**
Handle personal data lawfully and securely.

06 **Within the law**
Comply with UK law and platform terms of use.

THE PHILOSOPHY

“Build a fence around the law.”

Acting ethically is more than not hurting people. It means following the rules that force you — and others — not to cause harm in the first place.

MISCONDUCT TRIGGERS FORMAL UNIVERSITY DISCIPLINARY ACTION. GET IT RIGHT FIRST TIME.

PART II · WHEN & HOW

Your ethics timeline.

Ethics happens alongside your proposal and project plan — not at the end.

Today

Training & ethics test

This session, plus the Ethics Test on Blackboard. Both are **mandatory**.

Early June
First meeting

Discuss your category with your supervisor

Once you've firmed up your methodology, work out whether you're in Category 01, 02 or 03.

Need to decide by the time you submit your Project Plan on 24 June.

June (CAT 03 ONLY)

Submit your Ethic ERC application online

Most decisions come back within three weeks. Plan for the lead time before you start collecting data.

12 JUNE

Ethics statement in your project plan

A mandatory section. Names your category and references any approvals you've obtained.

PART III · THE THREE CATEGORIES

Where most projects land.

Every FinTech project belongs to exactly one. Most of you will be in Category 01 or 02.

NO ETHICAL APPROVAL 01

Public, non-human data.

No data is gathered from any humans or animals. Approval is not required — but the disqualifiers still apply.

MOST STUDENTS FALL HERE

BLANKET APPLICATION 02

Limited human data, strict rules.

The ethics board has pre-approved a narrow class of human-subject work. Your supervisor signs it off — no separate form.

SOME STUDENTS FALL HERE

FULL ETHICAL REVIEW 03

ERC application required.

Anything not covered by 01 or 02.
Stage 1 form online; most cleared within three weeks.
Stage 2 only if ERC raises a concern.

A FEW PROJECTS LAND HERE

PART III · CATEGORY 01

01 NO ETHICAL APPROVAL REQUIRED

Public data, no people.

YOU QUALIFY IF

You don’t touch human or animal data.

Acceptable sources include:

Public market data (prices, volumes, order books).
Published news headlines & press releases.
Open, anonymised benchmark datasets with a permissive licence.
Aggregated, non-identifying public statistics.

YOU DO NOT QUALIFY IF

Any of these are true.

Even one of these moves you up a category.

You ask anyone — even friends or family — to try out your software.
You use photos of people as training data, including your own.
You scrape data from forums or social media (Reddit, Facebook, X).
You process anonymous data in a way that could re-identify individuals.

PART III · CATEGORY 01 · EXAMPLES

01 CATEGORY 01 — EXAMPLES

What Category 01 looks like.

LISA · THEORY

Mathematical model for stock-price prediction.

Reviews the literature, derives a model with explicit assumptions, proves its properties on historical price data.

WHY NO REVIEW?

No human data — prices contain no personal information.

MEI · BACKTESTING

Momentum strategy on S&P 500 OHLCV.

Backtests a long/short signal using daily Yahoo Finance data. Reports Sharpe, drawdown and turnover.

WHY NO REVIEW?

Pure secondary public market data — no subjects of any kind.

AHMED · NLP

Sentiment of published Reuters headlines.

Trains a classifier on professionally-published headlines (not user posts) to predict next-day index moves.

WHY NO REVIEW?

Copyrighted but published material — not user-generated content, no consent issue.

PRIYA · BENCHMARK

Credit-default model on the UCI dataset.

Uses the UCI Default of Credit Card Clients dataset (already anonymised, CC BY licence) to compare classifiers.

WHY NO REVIEW?

Permissively-licensed, pre-anonymised public dataset; no re-identification attempt.

TOM · CRYPTO

On-chain volume vs ETH price.

Pulls aggregated transaction volume from a public block explorer; tests Granger causality against price.

WHY NO REVIEW?

Aggregated chain statistics — no wallet-level linkage or re-identification.

HANA · PORTFOLIO

Robust optimisation on FTSE returns.

Compares mean-variance, risk-parity and Black-Litterman on 20 years of public index returns.

WHY NO REVIEW?

Public index data — nothing about individual investors.

DANIEL · ESG

Effect of ESG rating changes on stock returns.

Event study using public rating-agency announcements and listed-company returns.

WHY NO REVIEW?

Public corporate data — no human subjects involved.

SARA · REPLICATION

Reproducing a published deep-learning paper.

Re-implements a peer-reviewed model on the authors' released, anonymised dataset.

WHY NO REVIEW?

Code & data already published under a permissive licence.

PART III · CATEGORY 02

02 BLANKET APPLICATION — SUPERVISOR SIGN-OFF

Limited data, strict conditions.

YOU CAN GATHER DATA

If all of these are true.

From consenting adults only.

With full, explicit, informed consent — recorded in writing.

Nothing sensitive, identifying or about protected characteristics.

Or: use a public dataset with a permissive licence, terms of use or its own ethics review.

Include enough evidence in your thesis to show you followed the restrictions.

YOU MUST NOT

If any of these apply, it’s Category 03.

Gather data from vulnerable populations (children, disabled people).

Ask about protected characteristics (race, religion, union membership).

Collect sensitive data (sexual activity, criminal history, drug use).

Collect identifying data (names, addresses, account handles).

Scrape forums or social media — *no* Reddit, Facebook or X.

Trick or deceive participants in any way.

Create any risk of physical or mental harm — including to yourself.

PART III · CATEGORY 02 · EXAMPLES

02 CATEGORY 02 — EXAMPLES

What Category 02 looks like.

USABILITY TEST

Mobile banking prototype, peer feedback.

Five MSc classmates use a Figma prototype for 15 minutes and complete an anonymous post-task survey.

WHY BLANKET?

Consenting adults, no identifying data, anonymous, no sensitive questions.

ANONYMOUS SURVEY

Financial literacy vs risk appetite.

Likert-scale Qualtrics survey distributed to adult volunteers. No names, emails or demographics collected.

WHY BLANKET?

Anonymous, adult-only, non-sensitive; consent obtained on the landing page.

A/B TEST

Robo-advisor onboarding flow.

Two versions of an onboarding screen are tested with adult peers; completion time and self-reported clarity are compared.

WHY BLANKET?

Consenting adults, no harm, no sensitive data, no deception about the study's purpose.

PUBLIC DATASET

Kaggle credit-card fraud dataset.

Uses the released, PCA-transformed transactions dataset to train a fraud-detection classifier.

WHY BLANKET?

Permissively-licensed, pre-anonymised public dataset — no attempt to re-identify.

EXPERT INTERVIEW

Two 30-min interviews with fintech PMs.

Semi-structured chat about product practice; quotes anonymised and stripped of company names in the thesis.

WHY BLANKET?

Adult professionals, written consent, non-sensitive topic, anonymised in write-up.

PUBLIC Self- filled questionnaire

LLM benchmarking

Studying LLM-generated answers based on your questionnaire which contain invented personas

WHY BLANKET?

Non- identifiable , non-sensitive questionnaire

CARD-SORTING

Categorising features in a trading app.

Six classmates sort 30 feature cards in person; only the resulting categories are recorded.

WHY BLANKET?

Adults, consented, no personal data captured, no identifiers stored.

SURVEY + INTERVIEW

Crypto investing habits, anonymous.

Anonymous online survey of adult retail investors with follow-up phone chats — no names, no account details.

WHY BLANKET?

Adult-only, written consent, non-sensitive, no identifying or financial-account data.

PART III · CATEGORY 03

03 FULL ETHICAL REVIEW — FREC APPLICATION

When you need a formal review.

Don’t panic. The streamlined Stage 1 form is short, and most projects clear in about three weeks.

EXAMPLE · SOCIAL MEDIA

GEORGE

Financial sentiment from X & Reddit.

Scrapes investor posts from X and Reddit to test whether sentiment predicts intraday volatility. Posts may include usernames and identifying content.

WHY FULL REVIEW?

Gathers user-generated content without consent and could be re-identifying. Stage 1 application required.

Even if you ‘download’ it from ‘public’ doesn’t make it immune.

EXAMPLE · SENSITIVE TOPIC

AISHA

Debt stress & investment behaviour.

Survey including questions on personal debt levels, income and financial-anxiety symptoms among retail investors.

WHY FULL REVIEW?

Sensitive personal & financial information; may touch on mental-health distress. Needs full review and safeguarding.

EXAMPLE · BIOMETRICS

BEN

Face-based KYC liveness detection.

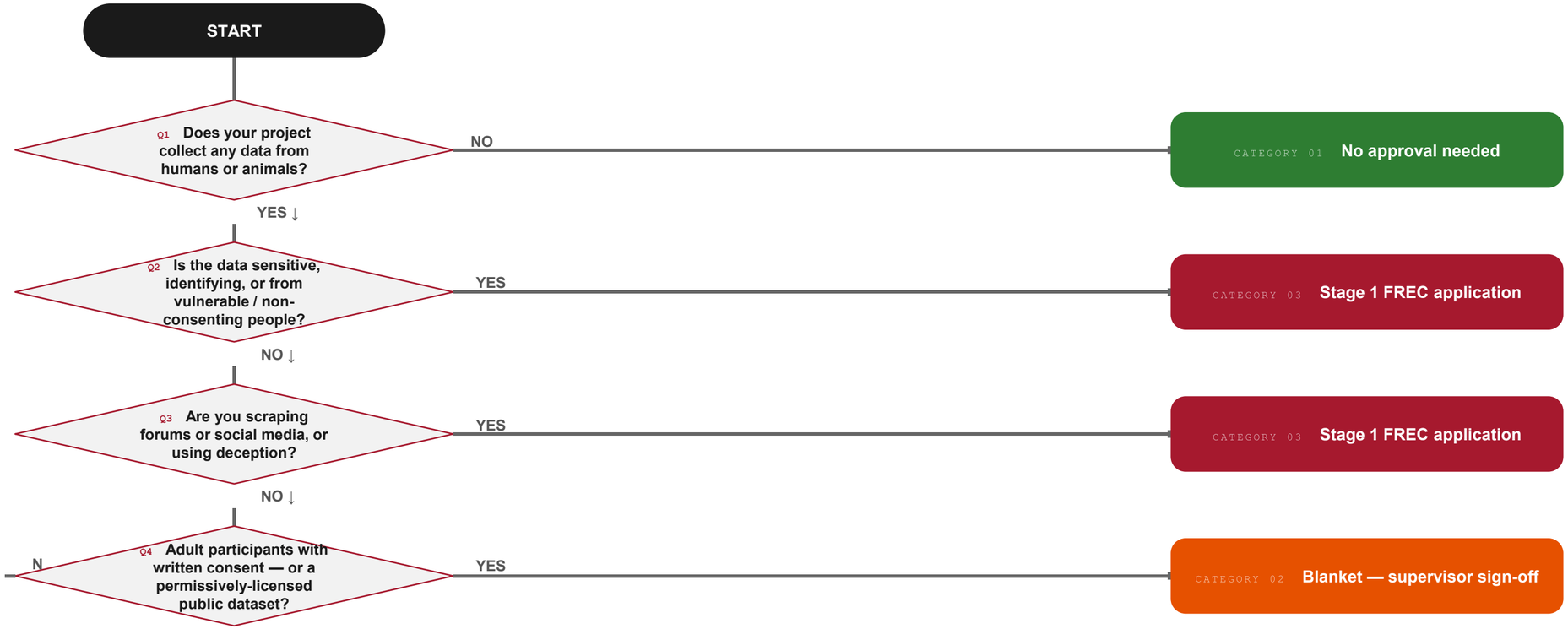
Builds a liveness model for KYC by collecting selfie videos from volunteer participants for training & evaluation.

* You need Cat 3 even using your own face image.

WHY FULL REVIEW?

Biometric data is a special category under GDPR. Full review covers storage, retention and right-to-erasure.

PART IV · SELF-CHECK



PART IV · YOUR PROJECT PLAN

The ethics statement.

A short section in your **June project plan and in your formal thesis.**

Don’t panic about Category 03.

Example:

This project did not require ethical review, as reviewed by my supervisor, Dr. John Doe.

This project fits within the blanket pre-approved ethics application xxxxx , as reviewed by my supervisor, Dr John Doe.

Or

This project fits within the scope of ethics application 15208, as reviewed by my supervisor, Dr John Doe.

CLOSING

Next steps & resources.

This slides will be put on Blackboard. If unsure discuss with your supervisor.

REQUIRED · THIS WEEK

Ethics test on Blackboard.

Individual Project Unit → Assessment → Ethics Test 2025. Short multiple choice; you **must pass** before your first Sup meeting; your supervisor will check this.

WITH YOUR SUPERVISOR

Think about your project.

Run through the four-question self-check now. Think about your project and have an answer before you meet your supervisor.

Discuss with your supervisor. Finalize before PP submission.

REFERENCE MATERIALS

On Blackboard.

Ethics handbook, slide deck, recorded session, and the FREC Stage 1 form template.

THANK YOU

Questions?